

Sandisk (SNDK)

\$615.83 (Stock Price as of 03/27/2026)

Price Target (6-12 Months): **\$809.00**

Long Term: 6-12 Months

Zacks Recommendation:

Outperform

(Since: 02/20/26)

Prior Recommendation: Neutral

Short Term: 1-3 Months

Zacks Rank: (1-5)

1-Strong Buy

Zacks Style Scores:

VGM: C

Value: F

Growth: A

Momentum: A

Summary

AI-led demand is resetting NAND economics in Sandisk's favor. Pricing is strengthening across segments, and mix is shifting toward higher-margin data center SSDs, supported by new PCIe Gen5 qualifications and upcoming BiCS8 TLC and QLC ramps. Disciplined supply, steady capital expenditure, and early long-term agreements with prepayments improve planning visibility and through-cycle margins, while stronger cash generation and deleveraging add strategic flexibility. Sandisk expects demand to outstrip supply beyond the planning horizon, pointing to structurally higher profitability. Portfolio optimization in consumer and edge adds resilience. Rising mix quality and durable pricing are expected to fully offset headwinds related to capacity constraints, higher expenses, qualification timing, and JV obligations in the near term.

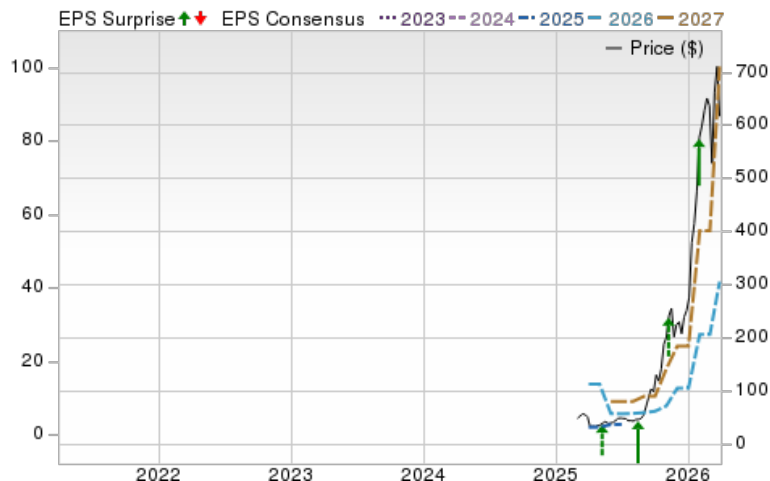
Data Overview

52 Week High-Low	\$777.60 - \$27.89
20 Day Average Volume (sh)	18,500,358
Market Cap	\$90.9 B
YTD Price Change	159.4%
Beta	NA
Dividend / Div Yld	\$0.00 / 0.0%
Industry	Computer- Storage Devices
Zacks Industry Rank	Top 9% (22 out of 244)

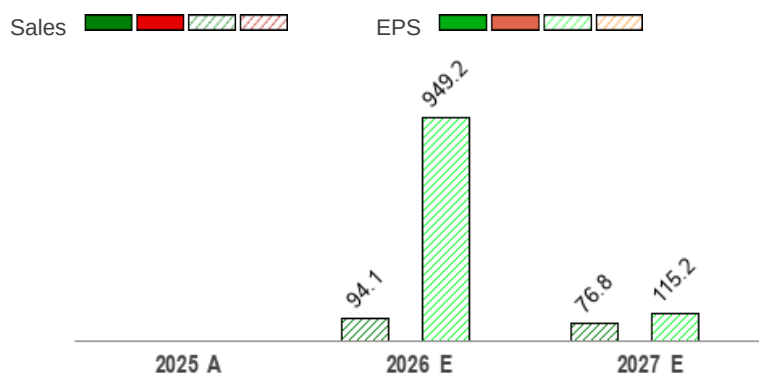
Last EPS Surprise	75.1%
Last Sales Surprise	13.5%
EPS F1 Est- 4 week change	12.4%
Expected Report Date	NA
Earnings ESP	2.0%

P/E TTM	83.1
P/E F1	14.8
PEG F1	0.0
P/S TTM	10.2

Price, Consensus & Surprise⁽¹⁾



Sales and EPS Growth Rates (Y/Y %)⁽¹⁾



Sales Estimates (millions of \$)⁽¹⁾

	Q1	Q2	Q3	Q4	Annual*
2027	6,867 E	7,682 E	7,408 E	8,012 E	29,784 E
2026	2,308 A	3,025 A	4,553 E	5,895 E	15,833 E
2025			1,695 A	1,901 A	7,355 A

EPS Estimates⁽¹⁾

	Q1	Q2	Q3	Q4	Annual*
2027	21.79 E	24.01 E	21.81 E	23.66 E	100.17 E
2026	1.22 A	6.20 A	13.68 E	18.41 E	41.60 E
2025			-0.30 A	0.29 A	2.99 A

*Quarterly figures may not add up to annual.

(1) The data in the charts and tables, including the Zacks Consensus EPS and sales estimates, is as of 03/27/2026.

(2) The report's text and the price target are as of 03/17/2026.

Overview

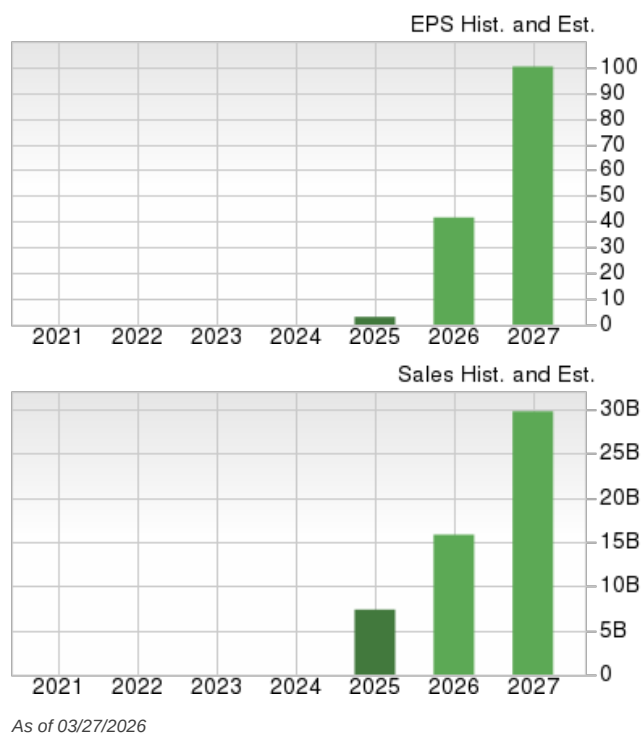
Sandisk develops, manufactures, and sells data storage devices and solutions based on NAND flash technology. The portfolio spans solid-state drives (SSDs), embedded products, removable cards, USB drives, and wafers and components. Products serve enterprise datacenters and public clouds, OEMs and channel partners across PCs and mobile, and retail consumers. The company became a standalone public company on Feb. 21, 2025, and trades under the symbol SNDK.

Milpitas, CA-based Sandisk discloses disaggregated revenues by end market to illustrate demand drivers. Datacenter refers to products for public and private cloud environments and enterprise customers. Edge refers to high-performance flash solutions for OEM and channel customers across PCs, mobile, gaming, automotive, virtual reality headsets, at-home entertainment, and industrial uses. Consumer refers to retail and other end-user products distributed through a broad global footprint.

Revenues in fiscal 2025 were \$7.4 billion, up from \$6.7 billion in fiscal 2024. Cloud, Client and Consumer accounted for 13%, 56% and 31% of revenues, respectively. Asia, the Americas, and Europe, Middle East and Africa contributed 61%, 22% and 17% of revenues, respectively.

Manufacturing of flash memory wafers is substantially sourced from Flash Ventures' purpose-built wafer fabs in Yokkaichi and Kitakami, Japan. The company owns a large media manufacturing and R&D site in Penang, Malaysia, and operates additional R&D, sales, and administrative facilities across the United States, Asia, Europe and the Middle East. The footprint supports development and supply across datacenter, edge, and consumer end markets at scale.

Sandisk is facing stiff competition from the likes of Kioxia, Micron, Samsung Electronics, SK Hynix, Yangtze Memory Technologies and numerous smaller companies that assemble flash into products.



Reasons To Buy:

- ▲ Data center momentum is compounding with clear product catalysts for Sandisk. Enterprise SSD revenue rose 64% sequentially in the second quarter of fiscal 2026, and management expects a substantial step-up again in the third quarter of fiscal 2026 with further acceleration in the second half. AI-driven storage needs are lifting the entire NAND value chain. Sandisk raised its internal 2026 data center exabyte growth view to the high-60% range in the second quarter of fiscal 2026 and reiterated demand well above supply beyond calendar 2026. PCIe Gen5 high-performance TLC is now qualified at a second hyperscaler, with additional qualifications over the coming quarters and BiCS8 TLC soon thereafter. BiCS8 QLC "Stargate" is in qualification with two major hyperscalers and expected to begin shipping within the next several quarters. With eSSD bits at high-teens percent of total bits in the fiscal second quarter, increasing data center penetration should enhance margins and revenue as TLC and then QLC ramps build.
- ▲ Pricing firmed across the board in fiscal 2026 and continued strengthening thereafter, while supply allocation prioritized strategic customers. Edge demand exceeded supply in the fiscal second quarter, supporting disciplined allocation and mix optimization. Consumer continued to shift toward premium configurations, supported by brand and licensing initiatives (FIFA World Cup 2026, Crayola) and new products like Extreme Fit USB-C (the smallest high-capacity USB-C drive). Even with bits expected down mid-single digits in the third quarter of fiscal 2026 due to lower-than-historical seasonality, guidance for mid-60s gross margin reflects improved portfolio quality and mix. With NAND flowing to the most attractive markets, these dynamics support sustained profitability independent of unit seasonality.
- ▲ Supply discipline is anchored by mid to high-teens annual bit growth through the BiCS8 transition and an unchanged capital expenditure spending trajectory that requires durable demand with financial commitments. The commercial shift to multiyear agreements has begun: one long-term agreement with prepayment was signed in the fiscal second quarter, with several more in the queue. Fabs ran at full capacity with no underutilization costs in the second quarter of fiscal 2026, and none are embedded in the third quarter of fiscal 2026 guidance. Joint venture (JV) agreements with Kioxia are extended through 2034, with manufacturing services costs recognized over nine years. This structure should improve capital efficiency, planning visibility and through-cycle margin durability as AI-led demand scales.
- ▲ Operational momentum is translating into stronger financial flexibility for Sandisk. The company delivered \$843 million in adjusted free cash flow, with operating cash flow of \$1.019 billion in the second quarter of fiscal 2026. Debt was reduced to roughly \$603 million at the fiscal second quarter-end from about \$2 billion previously, and management aims to continue deleveraging. The third-quarter fiscal 2026 guidance for non-GAAP gross margin is currently expected at 65-67%, while non-GAAP earnings are expected between \$12.00 and \$14.00 per share, despite lower bits, underscoring earnings power from mix and pricing. Strengthened liquidity supports reinvestment in BiCS8 and the expanding eSSD portfolio.

AI demand, disciplined supply, and data center mix expansion underpin margin improvement and cash generation for Sandisk.

Risks⁽²⁾

- Capacity constraints are expected to limit near-term upside for Sandisk. Demand exceeded supply in the second quarter of fiscal 2026, and management expects the market to be more undersupplied in the third quarter of fiscal 2026. Bits are guided down mid-single digits sequentially in third-quarter fiscal 2026 despite accelerating data center demand, reflecting allocation and supply gating. While pricing and mix are currently offsetting bit declines, constrained shipments can limit revenue realization in the near term. Until additional capacity is supported by multiyear customer commitments with prepayments, growth may trail demand signals. This dynamic could keep quarterly results reliant on price discipline and mix management rather than broader volume capture, tempering upside if allocation persists longer than expected.
 - Operating leverage is increasingly tied to sustained pricing strength. In the second quarter of fiscal 2026, operating expenses benefited from a one-time roughly \$35 million reduction related to qualification units, with third-quarter fiscal 2026 non-GAAP operating expenses expected to normalize to \$450-\$470 million. Though the current environment is constructive, prior periods showed volatility. ASP per gigabyte declined year over year in the first quarter of fiscal 2026, and underutilization costs were incurred in late fiscal 2025 and again in 1Q FY26. If pricing momentum across segments moderates as expenses normalize, margin expansion could slow. Earnings thus remain sensitive to continued price discipline and a favorable mix more than to broad-based volume increases.
 - Qualification and product ramp timing are notable headwinds to Sandisk's prospects. Further data center gains depend on executing a multi-quarter qualification and product roadmap. Management expects additional hyperscaler qualifications for PCIe Gen5 TLC "over the coming quarters," BiCS8 TLC "soon thereafter," and revenue shipments of BiCS8 QLC "Stargate" "within the next several quarters." With eSSD bits only high-teens percent of total bits in 2Q'26, any schedule slippage could delay mix improvement and the associated margin increase anticipated in the second half. Timing risk around these milestones would defer revenue realization and prolong reliance on the current TLC-skewed mix, softening the near-term benefit from QLC's cost and density advantages.
 - Manufacturing is deeply tied to the Kioxia JV, extended through 2034. Sandisk will pay \$1.2 billion for manufacturing services across calendar 2026-2029, with recognition in cost of goods sold over nine years. While ensuring supply continuity, these commitments embed multi-year costs that are not easily flexed. Meanwhile, the shift from transactional sales to long-term agreements with prepayments is early; only one LTA has been signed to date, limiting near-term capex visibility. If LTA adoption scales slower than anticipated, capital flexibility and supply planning could remain constrained, curbing Sandisk's ability to fully align output with persistently strong demand signals.
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Last Earnings Report

Key Highlights

- **Revenues:** \$3.03 billion in the second quarter of fiscal 2026, up 61% year over year.
- **Earnings:** \$6.20 per share compared with \$1.23 per share in the year-ago quarter.
- **Cash Balance:** \$1.5 billion at the end of second-quarter fiscal 2026.
- **Debt Balance:** Reduced to \$603 million at the end of second-quarter fiscal 2026.
- **Capital Investments:** \$84 million in Q4 2025 and \$209 million in 2025.

FY Quarter Ending **6/30/2025**

Earnings Reporting Date	Jan 29, 2026
Sales Surprise	13.48%
EPS Surprise	75.14%
Quarterly EPS	6.20
Annual EPS (TTM)	7.41

Sandisk Q2 Earnings Beat Estimates, Revenues Increase Y/Y

Sandisk reported second-quarter fiscal 2026 non-GAAP earnings of \$6.20 per share, which beat the Zacks Consensus Estimate by 75.14%. The company reported earnings of \$1.23 per share in the year-ago quarter and \$1.22 per share in the previous quarter.

Revenues surged 61.2% year over year and 31.1% sequentially to \$3.03 billion and beat the Zacks Consensus Estimate by 13.49%. Bit shipments increased at low single digits sequentially, and 22% year over year. Average selling price per gigabyte increased mid 30% in the reported quarter.

SNDK's Top Line Rides on Strong Datacenter & Edge Growth

End-market-wise, Sandisk reports under three heads, Datacenter, Edge and Consumer, which accounted for 14.5%, 55.5% and 30% of revenues, respectively.

Datacenter revenues jumped 76% year over year and 63.6% sequentially to \$440 million. The figure beat the Zacks Consensus Estimate of 41.03%. SNDK benefited from strong adoption of its solutions among AI infrastructure builders, semi-custom customers and technology companies deploying AI at scale.

Edge revenues jumped 63.2% year over year and 21% sequentially to \$1.68 billion. The figure beat the Zacks Consensus Estimate of 10.61%.

Consumer revenues jumped 51.7% year over year and 39.1% sequentially to \$907 million. The figure beat the Zacks Consensus Estimate of 17.95%.

SNDK's Gross & Operating Margins Expand Y/Y

The gross margin of 51.1% expanded from 32.5% reported in the year-ago quarter and 29.9% in the previous quarter.

Operating expenses rose 9.8% year over year to \$413 million. Sequentially, operating expenses declined 7.4%.

Operating margin of 32% expanded from 9.5% reported in the year-ago quarter and 24.1% in the previous quarter.

Sandisk's Balance Sheet Remains Strong

As of Jan. 2, 2026, cash & cash equivalents were \$1.54 billion compared with long-term debt of \$583 million.

In the second quarter of fiscal 2026, adjusted free cash flow was \$843 million compared with \$91 million in the year-ago quarter and \$448 million in the previous quarter.

Sandisk Offers Positive Q3 Guidance

For the third quarter of fiscal 2026, Sandisk expects revenues between \$4.4 billion and \$4.8 billion. Management expects the market to be more undersupplied than in the fiscal second quarter, bits down mid-single digits sequentially due to lower-than-historical seasonality, and a substantial sequential step-up in enterprise SSD revenues.

Gross margin is expected in the 65-67% range. Operating expenses on a non-GAAP basis are expected in the \$450 to \$470 million range. Sandisk reiterated that margins are expected to reset at structurally higher levels over time, given the mix shift toward datacenter, disciplined supply, and the evolving commercial model that emphasizes multiyear customer commitments with greater predictability.

Earnings are expected between \$12 per share and \$14 per share.

Recent News

On Feb. 24, Sandisk launched its next generation of portable SSD portfolio through a three-tier lineup designed to support larger file sizes, AI content, and the increasingly demanding digital workflows of everyday users, creators and professionals.

On Feb. 18, Sandisk announced the launch of a secondary public offering of \$3,085,774,648 of its common stock held by Western Digital, the company's former parent. Sandisk is not selling any shares and will not receive any proceeds from the sale.

On Feb. 17, Sandisk announced the pricing of a secondary public offering of 5,821,135 shares of its common stock currently owned by Western Digital. The SNDK shares will be offered at a public offering price of \$545 per share.

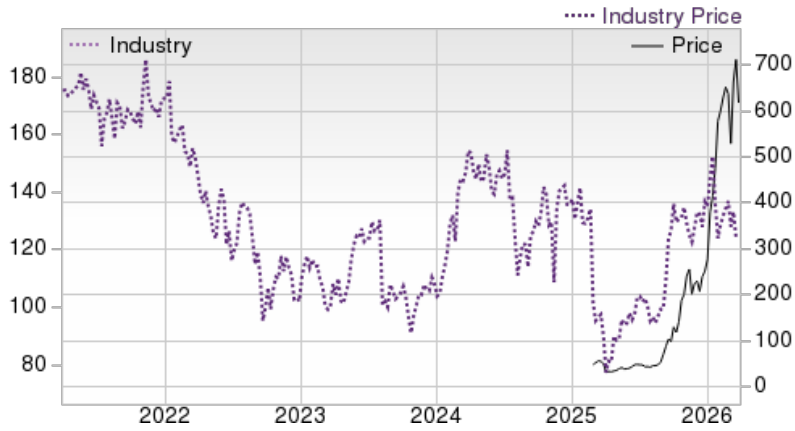
Valuation

Sandisk shares have risen 220.6% over the past three months and 1147.1% over the past year. Stocks in the Zacks sub-industry are up 80.1% over the past three months, while stocks in the Zacks Computer and Technology sector are down 1.6% over the same period. Over the past year, the Zacks sub-industry and sector are up 267.2% and 34.1%, respectively.

The S&P 500 index is down 1.1% over the past three months and 22.7% over the past year.

Our Outperform recommendation indicates that the stock will perform better than the market. Our \$809 price target reflects 5.41X forward 12-month sales.

Industry Analysis⁽¹⁾ Zacks Industry Rank: Top 9% (22 out of 244)



Top Peers⁽¹⁾

Company (Ticker)	Rec	Rank
Seagate Technology H...(STX)	Outperform	2
Western Digital Corp...(WDC)	Outperform	1
GSI Technology, Inc. (GSIT)	Neutral	
Netlist, Inc. (NLST)	Neutral	2
NetApp, Inc. (NTAP)	Neutral	3
Quantum Corporation (QMCO)	Neutral	4
Super Micro Computer...(SMCI)	Neutral	3
Teradata Corporation (TDC)	Neutral	3

Industry Comparison⁽¹⁾ Industry: Computer- Storage Devices

	SNDK	X Industry	S&P 500	NTAP	TDC	WDC
Zacks Recommendation (Long Term)	Outperform	-	-	Neutral	Neutral	Outperform
Zacks Rank (Short Term)	1	-	-	3	3	1
VGM Score	C	-	-	D	A	D
Market Cap	90.90 B	2.40 B	39.25 B	20.19 B	2.40 B	93.35 B
# of Analysts	6	4	22	10	5	7
Dividend Yield	0.00%	0.00%	1.51%	2.03%	0.00%	0.18%
Value Score	F	-	-	C	B	F
Cash/Price	0.02	0.18	0.04	0.15	0.21	0.02
EV/EBITDA	155.88	9.17	13.50	12.10	8.09	33.41
PEG Ratio	0.04	1.28	1.76	2.58	1.96	0.60
Price/Book (P/B)	8.90	9.53	3.31	17.44	10.15	13.13
Price/Cash Flow (P/CF)	39.75	14.10	13.82	14.10	9.31	45.50
P/E (F1)	14.80	12.86	17.91	12.86	9.70	30.73
Price/Sales (P/S)	10.18	3.01	3.04	3.01	1.44	8.70
Earnings Yield	6.76%	6.76%	5.57%	7.78%	10.31%	3.25%
Debt/Equity	0.06	0.20	0.56	2.15	2.07	0.34
Cash Flow (\$/share)	15.49	2.31	9.58	7.26	2.72	6.05
Growth Score	A	-	-	D	A	C
Hist. EPS Growth (3-5 yrs)	NA%	4.64%	7.41%	11.72%	4.30%	3.85%
Proj. EPS Growth (F1/F0)	1,291.30%	53.09%	9.95%	9.79%	1.16%	81.74%
Curr. Cash Flow Growth	-602.46%	-1.93%	7.96%	9.32%	4.83%	651.27%
Hist. Cash Flow Growth (3-5 yrs)	NA%	1.01%	8.87%	7.43%	1.01%	-1.50%
Current Ratio	3.11	1.43	1.19	1.39	0.92	1.46
Debt/Capital	5.40%	33.64%	37.99%	68.22%	67.42%	27.21%
Net Margin	-11.66%	3.11%	12.63%	18.07%	7.82%	35.52%
Return on Equity	10.11%	27.38%	17.16%	118.11%	81.80%	41.53%
Sales/Assets	0.69	0.83	0.53	0.67	0.95	0.71
Proj. Sales Growth (F1/F0)	115.30%	2.00%	5.59%	4.20%	-1.30%	30.60%
Momentum Score	A	-	-	D	B	C
Daily Price Chg	2.10%	-1.08%	-1.67%	-2.02%	-3.51%	0.73%
1 Week Price Chg	-13.23%	-5.67%	-2.12%	1.22%	-5.67%	-6.06%
4 Week Price Chg	-3.07%	-4.49%	-7.41%	3.34%	-19.63%	-1.56%
12 Week Price Chg	123.74%	-8.60%	-7.14%	-3.88%	-14.75%	46.69%
52 Week Price Chg	1,157.57%	71.23%	14.12%	15.77%	10.14%	577.84%
20 Day Average Volume	18,500,358	2,003,225	3,198,579	2,322,079	2,003,225	8,842,824
(F1) EPS Est 1 week change	12.38%	0.00%	0.00%	0.00%	0.00%	0.00%
(F1) EPS Est 4 week change	12.38%	1.33%	0.00%	1.58%	0.00%	0.00%
(F1) EPS Est 12 week change	249.87%	6.35%	0.50%	1.44%	5.05%	18.46%
(Q1) EPS Est Mthly Chg	25.78%	0.00%	0.00%	2.09%	0.00%	0.00%

Zacks Stock Rating System

We offer two rating systems that take into account investors' holding horizons: Zacks Rank and Zacks Recommendation. Each provides valuable insights into the future profitability of the stock and can be used separately or in combination with each other depending on your investment style.

Zacks Recommendation

The Zacks Recommendation aims to predict performance over the next 6 to 12 months. The foundation for the quantitatively determined Zacks Recommendation is trends in the company's estimate revisions and earnings outlook. The Zacks Recommendation is broken down into 3 Levels; Outperform, Neutral and Underperform. Unlike many Wall Street firms, we have an excellent balance between the number of Outperform and Neutral recommendations. Our team of 70 analysts are fully versed in the benefits of earnings estimate revisions and how that is harnessed through the Zacks quantitative rating system. But we have given our analysts the ability to override the Zacks Recommendation for the 1200 stocks that they follow. The reason for the analyst over-rides is that there are often factors such as valuation, industry conditions and management effectiveness that a trained investment professional can spot better than a quantitative model.

Zacks Rank

The Zacks Rank is our short-term rating system that is most effective over the one- to three-month holding horizon. The underlying driver for the quantitatively-determined Zacks Rank is the same as the Zacks Recommendation, and reflects trends in earnings estimate revisions.

Zacks Style Scores

The Zacks Style Score is as a complementary indicator to the Zacks rating system, giving investors a way to focus on the highest rated stocks that best fit their own stock picking preferences.

Academic research has proven that stocks with the best Value, Growth and Momentum characteristics outperform the market. The Zacks Style Scores rate stocks on each of these individual styles and assigns a rating of A, B, C, D and F. We also produce the VGM Score (V for Value, G for Growth and M for Momentum), which combines the weighted average of the individual Style Scores into one score. This is perfectly suited for those who want their stocks to have the best scores across the board.

Value Score	F
Growth Score	A
Momentum Score	A
VGM Score	C

As an investor, you want to buy stocks with the highest probability of success. That means buying stocks with a Zacks Recommendation of Outperform, which also has a Style Score of an A or a B.

Disclosure

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